

whose job is often to remain more or less fully invested, nevertheless adjust their cash positions to higher levels if they feel that the market will fall and provide bargains. Because their decisions are based on an assessment of extramarket conditions, just like most other people's, their cash holdings are invariably highest at bottoms (just when funds should be fully invested in stocks) and lowest at tops (just when they should be out of the market). The reading of approximately 17% cash in 1982 was extremely bullish. It was 7% in early 1987, when *The Elliott Wave Theorist* remarked, "When the peak of this bull market really does arrive, stock market mutual funds will be nearly fully invested. Until then, no major top is indicated." According to Indata Corp., which has been collecting data for an all-equity institutional cash/assets ratio since 1979, institutional cash levels were down to 3.2% on Feb. 10, 1995, the lowest level ever, as shown in Figure 11-12. They are now "nearly fully invested," as forecast, which should mean that a "major top is indicated."

Institutions invest in both stocks and bonds, so it is useful to check the relative percentage of assets devoted to stock ownership as well. At the January 1973 top, pension funds and insurance companies had a record 31.95% of their assets in stocks. At the 1987 top, they had a nearly equivalent 31.90% of their assets in stocks. In 1994, they reached a new record high 34.38% of their assets in stocks, as you can see in Figure 11-13. That amount has almost certainly been exceeded here in the first half of 1995. The 1973 and 1987 market peaks led to drops of 46% and 36%. What will an all-time high percentage precede? *Corporate* pension funds have an amazing 57% of their assets in stocks, which is double their bond percentage. The drop in the bond market last year forced a new opinion that "stocks are now safer than bonds." If you liked bonds at 125, shouldn't you love them at 105, a comparative bargain? Not if fear and linear extrapolation are more in the driver's seat than reason. In a reflection of the fact that the mania is worldwide, British pension fund managers, who were deeply affected by the decline in gilts (UK bonds) in the 1970s, have an amazing 76% of their funds in equities. In Australia, investors have even snapped up shares in a brothel.

Today's money managers are not only more bullish than their high-flying predecessors of 22 and 27 years ago, but far more swashbuckling. Managers of closed-end mutual funds (which can accept no new money after their formation and closure) have invented a way to bring in more money with a concept called "rights offerings," which allow existing shareholders to purchase new shares